Equity Considerations in Monetary Policy

The narrative of our growth–inflation debate is also shaped by what I call the ‘decibel capacity’. The trade and industry sector, typically a borrower of money, prioritizes growth over inflation, and lobbies for a softer interest-rate regime. I believe this is a legitimate lobby comprising constituencies which contribute to growth, and its demand deserves every consideration by the Reserve Bank.

At the same time, the Reserve Bank cannot afford to forget that there is a much larger group that prioritizes lower inflation over faster growth. This is the large majority of the public comprising several millions of low- and middle-income households who are hurt by rising prices and want the Reserve Bank to maintain stable prices. Inflation, we must note, is a regressive tax; the poorer you are, the more you are hurt by rising prices.

But here is the thing. The business sector is organized, has a platform for voicing its demand and even has an opportunity to present its point of view to the governor in the pre-policy consultation meeting. On the other hand, the large majority of the public that is hurting under inflation is scattered and unorganized, has no avenue to voice its concern and does not have the privilege of a pre-policy meeting with the governor. I always believed that this asymmetry placed an obligation on the Reserve Bank to bend over backwards to listen to the voices of silence.

One comforting factor is that this tension of balancing the interests of a vocal minority with those of a silent majority is not unique to the Reserve Bank—all central banks face this dilemma. Alan Greenspan, the former chairman of the US Federal Reserve, said in an interview following the publication of his latest book, *The Map and the Territory*: ‘In the eighteen and a half years I was there, I got a huge number of letters or notes or whatever, urging us to lower interest rates. On the side of getting letters which say you’ve got to tighten [raise rates], it was a zero. So it is a huge political, regulatory asymmetry.’ (‘What Alan Greenspan Learned Till 2008’: interview to Justin Fox)